

| MACRO ENVIRONMENT |       |         |               |       |       |       |
|-------------------|-------|---------|---------------|-------|-------|-------|
| INDICATOR         | VALUE | CHANGE  | SECTOR ETF    | 1D%   | 5D%   | 1M%   |
| 10Y Yield         | 4.45  | +0.0000 | Technology    | +nan% | +nan% | +nan% |
| 5Y Yield          | 4.22  | +0.0000 | Financials    | +nan% | +nan% | +nan% |
| 3M T-Bill         | 3.66  | +0.0000 | Healthcare    | +nan% | +nan% | +nan% |
| VIX               | 16.78 | -1.6600 | Cons. Disc.   | +nan% | +nan% | +nan% |
| Gold ETF          | nan   | nan     | Energy        | +nan% | +nan% | +nan% |
|                   |       |         | Industrials   | +nan% | +nan% | +nan% |
|                   |       |         | Utilities     | +nan% | +nan% | +nan% |
|                   |       |         | Cons. Staples | +nan% | +nan% | +nan% |
|                   |       |         | Real Estate   | +nan% | +nan% | +nan% |
|                   |       |         | Materials     | +nan% | +nan% | +nan% |
|                   |       |         | Comm. Svcs    | +nan% | +nan% | +nan% |

| MACRO INTELLIGENCE — AI-GENERATED BRIEFING                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |  |  |  |  |  |  |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|--|--|--|--|--|
| <ul style="list-style-type: none"><li>Curve dynamics: 10Y at 4.45% with 3M at 3.66% leaves the 3M/10Y spread at ~+79bps — a fully re-steepened curve consistent with a Fed in mid-cutting cycle while term premium rebuilds; real yields remain restrictive for long-duration cash flows but no longer punitive at the margin.</li><li>Risk appetite is the dominant signal today: VIX collapsing 1.66 to 16.78 (sub-17 regime) flags a volatility-suppression tape that historically correlates with mega-cap growth and semis leadership — money is rotating back into beta as rate vol stabilizes.</li><li>Pressure point: defensives (Staples, Utilities) typically underperform in this VIX-down/curve-steep configuration; meanwhile Energy is vulnerable absent a fresh commodity impulse, and Financials face NIM compression as the front end leads lower.</li><li>AI/Tech specific: a 4.45% 10Y is the key gating variable — every 25bps lower adds meaningful multiple support to hyperscaler capex narratives and unprofitable AI infrastructure names; however, with 5Y at 4.23%, refi costs for AI capex cycles (data centers, GPU financing) remain elevated, favoring cash-rich incumbents (MSFT, GOOGL, META, NVDA) over leveraged neoclouds and AI-adjacent REITs.</li><li>Positioning: stay overweight large-cap AI/semis and software with positive FCF, fund from Staples/Utilities; use the VIX 16-handle to add convex downside hedges on Q2 earnings tail risk rather than chase upside — the asymmetry has shifted to protecting gains, not adding gross.</li></ul> |  |  |  |  |  |  |

| CONVICTION RANKING — ALL COVERED TICKERS |  |  |  |  |  |  |
|------------------------------------------|--|--|--|--|--|--|
|------------------------------------------|--|--|--|--|--|--|

SECTOR OPTIONS FLOW — PUT/CALL RATIO RANKING

UNUSUAL MARKET-WIDE ACTIVITY — TOP 10

- **TSLA** (Cons. Disc.): 110.0x normal volume, P/C 0.65, largest: PUT \$442 (232.0x OI) — Heavy call buying at 110.0x normal levels suggests institutional accumulation.
- **AMZN** (Cons. Disc.): 102.6x normal volume, P/C 0.50, largest: PUT \$265 (2904.0x OI) — Heavy call buying at 102.6x normal levels suggests institutional accumulation.
- **AAPL** (Technology): 77.9x normal volume, P/C 0.80, largest: CALL \$302 (11.2x OI) — Mixed flow at 77.9x normal levels suggests event-driven positioning.
- **MSFT** (Technology): 71.7x normal volume, P/C 0.33, largest: CALL \$475 (502.5x OI) — Heavy call buying at 71.7x normal levels suggests institutional accumulation.
- **NVDA** (Technology): 54.2x normal volume, P/C 0.70, largest: PUT \$220 (367.7x OI) — Heavy call buying at 54.2x normal levels suggests institutional accumulation.
- **META** (Technology): 52.7x normal volume, P/C 0.57, largest: CALL \$700 (77.6x OI) — Heavy call buying at 52.7x normal levels suggests institutional accumulation.
- **AVGO** (Other): 52.6x normal volume, P/C 0.50, largest: CALL \$432 (56.8x OI) — Heavy call buying at 52.6x normal levels suggests institutional accumulation.
- **GOOGL** (Technology): 38.3x normal volume, P/C 0.43, largest: PUT \$360 (8.7x OI) — Heavy call buying at 38.3x normal levels suggests institutional accumulation.
- **ON** (Other): 35.6x normal volume, P/C 0.52, largest: CALL \$142 (137.8x OI) — Heavy call buying at 35.6x normal levels suggests institutional accumulation.
- **PLTR** (Technology): 27.7x normal volume, P/C 0.42, largest: CALL \$114 (65.0x OI) — Heavy call buying at 27.7x normal levels suggests institutional accumulation.

ROTATION ANALYSIS — AI-GENERATED ASSESSMENT

Smart money is aggressively positioning for a classic late-cycle rotation into rate-sensitive and defensive growth, with heavy call buying in Real Estate (P/C 0.18), Consumer Discretionary (0.25), Utilities (0.33, 5.9x volume), and Energy (0.35, 6.9x volume) — a combination that suggests options desks are betting on lower real yields, a resilient consumer, and a potential commodity bid, while Healthcare and Communication Services round out a broad-based bullish tilt. The standout hedge is Industrials (P/C 7.12 on 14.6x volume), a striking divergence given the sector's recent leadership and one that likely reflects either profit-taking on cyclicals or a hedge against a manufacturing/capex slowdown, while Technology's neutral-to-bearish skew (P/C 1.11) suggests big money is trimming mega-cap growth exposure even as the tape holds up. Financials, Staples, and Materials sitting neutral with elevated volume implies indecision around the yield curve and growth trajectory, while stable credit (HYG/LQD neutral, spreads steady) confirms there's no systemic stress driving the rotation — this is a posit

CREDIT MARKET SIGNALS

| ETF        | P/C RATIO | SIGNAL  | 1W CHG | 1M CHG |
|------------|-----------|---------|--------|--------|
| <b>HYG</b> | 0.87      | NEUTRAL | +0.00  | +0.00  |
| <b>LQD</b> | 0.77      | NEUTRAL | +0.00  | +0.00  |

SHORT INTEREST & SQUEEZE CANDIDATES

EARNINGS CALENDAR — OPTIONS IMPLIED MOVES

No upcoming earnings in calendar.

CONGRESSIONAL TRADES — RECENT DISCLOSURES

No recent congressional trades reported.

MACRO EVENTS — UPCOMING CALENDAR

- 2026-06-24 Consumer Confidence [MEDIUM]

Rate Sensitivity: VIX at 16.8 — low. Options market complacent ahead of scheduled events.

DARK POOL SIGNALS — FLAGGED ACTIVITY

Tempus AI, Inc.

TEM NASDAQ

|     |                 |                             |                                     |                       |
|-----|-----------------|-----------------------------|-------------------------------------|-----------------------|
| Buy | \$50.84 ▲ 4.20% | 12M Price Target<br>\$68.00 | 52-Week Range<br>\$41.73 – \$104.32 | Market Cap<br>\$9.13B |
|-----|-----------------|-----------------------------|-------------------------------------|-----------------------|

TEM: Open-Source Pathology Consortium Reinforces Data Moat; Reiterate Buy

WHAT'S CHANGED

- TEM launched an Open-Source Digital Pathology Consortium (6/16), an ecosystem play that broadens data inflow and entrenches Tempus as the de facto multimodal reference platform for AI-driven pathology.
- Stock up +4.2% to \$50.84 on accelerating call flow (P/C 0.25; unusual \$53/\$54 strike buying), reversing last week's \$52.32→\$48.79 fade and recapturing the 15th percentile of 52-wk range.

IMPLICATIONS

The pathology consortium is strategically additive — by open-sourcing tooling, TEM lowers adoption friction for health systems while funneling proprietary multimodal data into its training pipeline, reinforcing the core data moat and AI Applications monetization runway. Coupled with bullish near-term options positioning (10.5K calls vs 2.6K puts) and rebuilding institutional sponsorship (ARK 5.5%, BLK 5.1%, Baillie Gifford 5.0%), tape action suggests sentiment is inflecting off oversold levels despite the May Lefkofsky CEO sales (~\$3.2M) overhang. With shares at only 15% of 52-wk range, risk/reward skews favorably into 2H catalysts (Ambry contribution, MRD ramp, pharma services pipeline).

VALUATION

At \$9.13B market cap on ~\$1.48B FY26E revenue, TEM trades at ~6x EV/Sales — a meaningful discount to high-growth diagnostics peers (NTRA, GH at 8-12x) despite a comparable ~30%+ growth profile and superior multimodal data assets. Our \$68 PT (~34% upside) assumes ~8x FY27E sales, justified by AI Applications margin accretion and consortium-driven network effects; downside to \$42 reflects multiple compression if gross margins fail to scale past 65%.

KEY RISKS

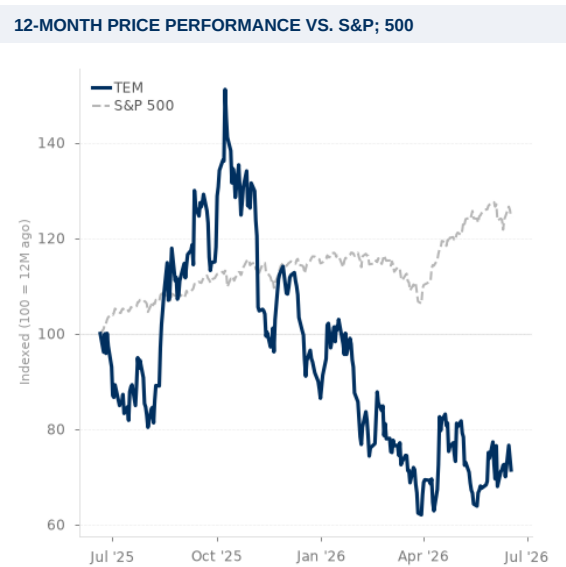
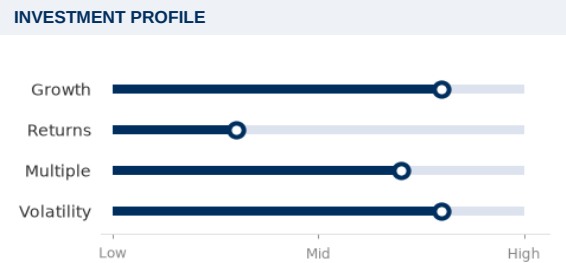
- Continued insider distribution from CEO Lefkofsky pressuring sentiment and float dynamics.
- Reimbursement/coverage decisions on key oncology assays (xT, xF) could compress unit economics.
- Cash burn extension; capital raise risk if path to FCF break-even slips beyond 2027.

RECENT NEWS

Tempus AI, Inc. (TEM) Opens Open-Source Digital Pathology Consortium Insider Monkey · 2026-06-16 12:52

Tempus AI (TEM) Stock After 23% Year-To-Date Decline Is Opportunity Emerging Simply Wall St. · 2026-06-13 02:10

| Key Data            |          |
|---------------------|----------|
| Price (USD)         | \$50.84  |
| 12M Price Target    | \$68.00  |
| Upside / (Downside) | +33.8%   |
| Market Cap          | \$9.13B  |
| FY2026E Revenue     | \$1,480M |
| FY2027E Revenue     | \$1,920M |
| FY2026E EPS         | (\$1.05) |
| FY2027E EPS         | (\$0.55) |
| Fwd P/E             | N/M      |



TEM — Tempus AI, Inc. | June 19, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$56.00   | \$51.00   | \$44.00   |
| 6 Months  | \$70.00   | \$60.00   | \$42.00   |
| 1 Year    | \$92.00   | \$68.00   | \$38.00   |
| 2 Years   | \$130.00  | \$85.00   | \$32.00   |
| 5 Years   | \$220.00  | \$130.00  | \$25.00   |
| 10 Years  | \$425.00  | \$215.00  | \$18.00   |

SECTOR INTELLIGENCE

**HOT SECTORS:** Healthcare AI/Diagnostics, Technology (AI infrastructure)

**COLD SECTORS:** Traditional Life Sciences Tools, Energy

**ROTATION WATCH:** With macro narrative shifting toward AI productivity beneficiaries beyond hyperscalers, capital is rotating into vertical AI applications — healthcare AI is the highest-leverage end-market given clinical labor scarcity and reimbursement tailwinds.

**BYPRODUCT PLAY:** Pathology AI consortium creates downstream demand for cloud compute, secure health-data infrastructure (SNOW, MDB), and contract research enablement (medical AI labeling/annotation vendors).

OUTPERFORMERS & PEER CONTEXT

- NTRA (Natera): MRD/Signatera volume growth >40% YoY with expanding Medicare coverage driving sector-leading rev acceleration.
- VEEV (Veeva): Life sciences SaaS posting durable 20%+ growth with best-in-class FCF margins, setting the bar for healthcare-tech multiples.

**TEM CONTEXT:** TEM is lagging NTRA on price action YTD but the consortium announcement and stabilizing options flow suggest mean-reversion potential; relative valuation gap (6x vs NTRA ~10x EV/S) provides asymmetric setup if execution holds.

INVESTMENT STRATEGY

7/10 Conviction Score

**Position Size:** 2-4% of portfolio

**Entry Points:** \$45-50 on pullbacks

**Time Horizon:** 12-24 months

**Thesis Invalidation:** Revenue growth decel <30% YoY or loss of major health-system partner

**Hedging:** Paired short vs richer-multiple AI/diagnostics names (e.g., GH or VEEV basket)

CRNC

CRNC N/A

|     |                 |                             |                                   |                      |
|-----|-----------------|-----------------------------|-----------------------------------|----------------------|
| Buy | \$10.77 ▲ 7.70% | 12M Price Target<br>\$14.00 | 52-Week Range<br>\$5.85 – \$13.74 | Market Cap<br>\$487M |
|-----|-----------------|-----------------------------|-----------------------------------|----------------------|

CRNC: Reiterate Buy on BYD LLM Expansion, Bullish Options Flow

WHAT'S CHANGED

- CRNC +7.7% to \$10.77 on heavy volume (~2.0M shares vs. 5-day avg ~675K), a ~3x volume surge after consecutive down days from \$10.88 → \$10.00, suggesting a reversal off short-term support.
- Near-term options flow decisively bullish: P/C 0.26 with unusual July \$12 call activity (300 contracts, 2.3x OI) targeting a breakout through 52-week midpoint.

IMPLICATIONS

The BYD partnership expansion for LLM-powered in-car AI (May 7) reinforces CRNC's strategic pivot from legacy embedded licensing toward higher-value CloudCar/generative AI deployments, which is the core re-rating thesis despite the Q2 earnings miss. With shares at 62% of 52-week range and institutions holding 81.5%, today's volume-backed bounce suggests positioning into the next OEM design-win catalyst. The competitive narrative vs. SOUN (multiple Zacks comp articles) is increasingly framing CRNC as the deep-value auto-pure-play, which supports multiple expansion if FY27 bookings inflect.

VALUATION

At \$487M market cap on ~\$236M FY26E revenue, CRNC trades at ~2.1x EV/Sales — a steep discount to SOUN (>15x) and other voice-AI peers, reflecting auto-cycle exposure and execution risk post-Q2 miss. Base case \$14 PT (~30% upside) assumes re-rating to ~2.7x FY27E sales as CloudCar/LLM revenue mix climbs and adj. EBITDA margins approach mid-teens. Multiple expansion hinges on demonstrating sustained royalty-per-vehicle uplift from generative-AI SKUs.

KEY RISKS

- Global auto SAAR softness and OEM software budget compression delaying CloudCar ramp
- Competitive displacement by hyperscaler in-car assistants (Google Automotive, Amazon Alexa Auto) or SOUN's Chat AI Automotive
- Convertible note refinancing overhang (2028 maturity) limiting balance-sheet flexibility if FCF stays negative

RECENT NEWS

Why SoundHound's Pipeline Growth Matters for the SOUN Stock Zacks · 2026-05-22 14:25

Is SoundHound Stock Still a Strong AI Play After the Q1 Selloff? Zacks · 2026-05-13 15:10

Cerence (CRNC) Q2 Earnings Miss Estimates Zacks · 2026-05-08 02:25

Cerence (CRNC) Q2 2026 Earnings Transcript Motley Fool · 2026-05-07 22:38

Cerence (CRNC) Expands BYD Partnership for LLM-Powered In-Car AI Insider Monkey · 2026-05-07 14:59

Langston's | Equity Research Coverage

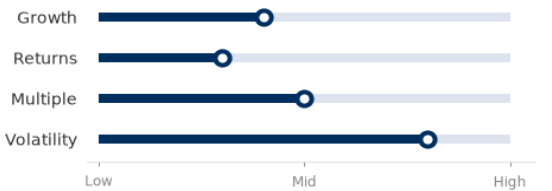
AI-Generated Pre-Market Brief | 2026-06-19 16:02 UTC

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$10.77  |
| 12M Price Target    | \$14.00  |
| Upside / (Downside) | +30.0%   |
| Market Cap          | \$487M   |
| FY2026E Revenue     | \$236M   |
| FY2027E Revenue     | \$252M   |
| FY2026E EPS         | (\$0.45) |
| FY2027E EPS         | (\$0.15) |
| Fwd P/E             | N/M      |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$12.50   | \$11.25   | \$9.50    |
| 6 Months  | \$15.00   | \$12.50   | \$8.50    |
| 1 Year    | \$18.00   | \$14.00   | \$7.50    |
| 2 Years   | \$24.00   | \$17.00   | \$6.50    |
| 5 Years   | \$35.00   | \$22.00   | \$5.00    |
| 10 Years  | \$55.00   | \$30.00   | \$4.00    |

SECTOR INTELLIGENCE

**HOT SECTORS:** AI Software, Automotive Tech

**COLD SECTORS:** Legacy Auto Suppliers, Consumer Hardware

**ROTATION WATCH:** Capital rotating from richly-valued AI mega-caps toward smaller AI-exposed names with tangible enterprise contracts; CRNC fits the "GARP AI" bucket if execution stabilizes.

**BYPRODUCT PLAY:** Edge-AI inference and automotive SoC suppliers (QCOM, NXPI) benefit from the same in-car generative-AI buildout driving CRNC's CloudCar opportunity.

OUTPERFORMERS & PEER CONTEXT

- SOUN (SoundHound AI): Trading at >15x forward sales on enterprise/restaurant voice-AI pipeline growth, materially outpacing CRNC's multiple despite smaller revenue base.
- QCOM (Qualcomm): Snapdragon Digital Chassis design wins compounding, providing the silicon layer for the same in-car AI workloads CRNC monetizes.

**CRNC CONTEXT:** CRNC is lagging voice-AI peers on multiple but today's volume-backed bounce and bullish options skew suggest the relative-value gap is starting to attract tactical accumulation — peer-group catch-up trade emerging.

INVESTMENT STRATEGY

**6/10** Conviction Score

**Position Size:** 1-2% of portfolio

**Entry Points:** \$9.50-10.25 on pullbacks

**Time Horizon:** 12-18 months

**Thesis Invalidation:** Loss of top-3 OEM contract or FY27 revenue guide <\$240M

**Hedging:** Pair short SOUN on relative voice-AI multiple compression

# Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$21.36 ▲ 5.51%

12M Price Target  
\$22.00

52-Week Range  
\$10.30 – \$58.15

Market Cap  
\$7.10B

RGTI: Reiterate Hold — Quantinuum IPO Pressures Multiple, Insider Selling Persists

WHAT'S CHANGED

- Quantinuum IPO chatter triggered a 9% intraday decline on 6/17 as capital rotates toward the perceived category leader; RGTI bounced +5.5% today to \$21.36 on options-driven short covering (P/C 0.59, unusual call activity at \$21/\$22.5 strikes).
- \$100M funding deal flagged as dilutive by Simply Wall St. (26.5% overvaluation call), compounded by cluster insider selling — CEO Kulkarni sold \$1.49M at \$24.38 on 6/1 and Director Johnson dumped \$2.6M on 6/8.

IMPLICATIONS

The Quantinuum IPO is a structural negative for RGTI's narrative premium — investors now have a pure-play alternative with Honeywell pedigree and superior trapped-ion fidelity metrics, threatening RGTI's scarcity value as one of few listed quantum names. Concurrent insider selling at \$21–24 levels signals management views current prices as fair-to-rich, while the \$100M raise (likely ATM) confirms cash burn requires continuous dilution to fund the gate-fidelity roadmap. Near-term, the stock trades as a sentiment vehicle on quantum headlines rather than fundamentals, with the 52-week range (\$10.3–\$58.15) underscoring binary outcome risk.

VALUATION

At \$7.1B market cap on sub-\$20M trailing revenue, RGTI trades at ~390x EV/Sales — a multiple only justifiable on optionality, not DCF. Our \$22 base PT applies a ~200x FY27E revenue multiple, in line with IONQ but at a discount to expected Quantinuum pricing; upside to \$40 requires demonstrable logical qubit milestones, while downside to \$12-14 emerges if dilution accelerates or DARPA Quantum Benchmarking Initiative funding lapses.

KEY RISKS

- Quantinuum IPO siphons institutional quantum-basket allocations and resets peer multiples lower
- Continued equity issuance (the \$100M deal follows prior ATMs) caps per-share upside even on technical wins
- Superconducting architecture losing relative ground to trapped-ion and neutral-atom modalities on fidelity benchmarks

RECENT NEWS

Rigetti Computing, Inc. (RGTI) is Attracting Investor Attention: Here is What You Should K... Zacks · 2026-06-19 13:00

Is Rigetti Computing Stock a Buy Right Now? Motley Fool · 2026-06-18 23:33

Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$21.36  |
| 12M Price Target    | \$22.00  |
| Upside / (Downside) | +3.0%    |
| Market Cap          | \$7.10B  |
| FY2026E Revenue     | \$18M    |
| FY2027E Revenue     | \$32M    |
| FY2026E EPS         | (\$0.35) |
| FY2027E EPS         | (\$0.28) |
| Fwd P/E             | N/M      |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500





PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$26.00   | \$21.00   | \$16.00   |
| 6 Months  | \$32.00   | \$22.00   | \$14.00   |
| 1 Year    | \$40.00   | \$24.00   | \$12.00   |
| 2 Years   | \$55.00   | \$28.00   | \$10.00   |
| 5 Years   | \$90.00   | \$40.00   | \$6.00    |
| 10 Years  | \$180.00  | \$60.00   | \$3.00    |

SECTOR INTELLIGENCE

**HOT SECTORS:** Quantum Computing, AI Infrastructure

**COLD SECTORS:** Traditional Semis, Legacy Software

**ROTATION WATCH:** Capital rotating within "deep tech" basket from speculative quantum names toward Quantinuum on IPO, then likely back to listed names if IPO prices rich; watch for sympathy bid in IONQ/QBTS/RGTI on Quantinuum pricing day.

**BYPRODUCT PLAY:** Cryogenic infrastructure suppliers (helium, dilution refrigerators) and quantum-safe cybersecurity names benefit regardless of which quantum architecture wins — less binary exposure.

OUTPERFORMERS & PEER CONTEXT

- IONQ (IonQ Inc.): Trapped-ion leader maintaining premium multiple on superior algorithmic qubit metrics and AWS/Azure partnerships
- QBTS (D-Wave Quantum): Annealing-focused commercial revenue traction running ahead of gate-model peers on near-term bookings

**RGTI CONTEXT:** RGTI is lagging the quantum peer group YTD given the 9% 6/17 underperformance vs. broader market; relative weakness reflects superconducting architecture skepticism and dilution overhang, not company-specific execution failure.

INVESTMENT STRATEGY

5/10 Conviction Score

**Position Size:** 0.5-1.5% of portfolio (speculative sleeve)

**Entry Points:** \$15-17 on pullbacks; trim above \$25

**Time Horizon:** 12-24 months

**Thesis Invalidation:** Failure to scale beyond 84-qubit Ankaa or loss of DARPA/DOE contracts

**Hedging:** Long IONQ or QBTS as quantum-basket pair; protective puts at \$18 strike

# BigBear.ai Holdings, Inc.

BBAI NYSE

|      |                |                            |                                  |                       |
|------|----------------|----------------------------|----------------------------------|-----------------------|
| Hold | \$3.92 ▲ 1.03% | 12M Price Target<br>\$4.50 | 52-Week Range<br>\$3.01 – \$9.39 | Market Cap<br>\$1.88B |
|------|----------------|----------------------------|----------------------------------|-----------------------|

BBAI: Reiterate Hold — Rich Valuation Offsets Federal AI Momentum

WHAT'S CHANGED

- Zacks coverage (06/19) flags rising SG&A as the key tension point against BBAI's AI innovation cadence; reinforces near-term margin concerns despite management's confident 2026 outlook reiterated 06/12.
- Stock down ~3.5% over last three sessions (\$4.05 → \$3.88) on elevated volume (23–34M shares vs typical), pushing BBAI to just 14% of 52-week range while options flow turned sharply bullish (P/C 0.17, unusual \$4 July calls at 5.1x OI).

IMPLICATIONS

The Zacks valuation piece ("Rich, but Is the AI Opportunity Richer?") confirms the Street's central debate on BBAI: federal/defense AI TAM is real, but the stock already discounts substantial execution. With shares hovering near 52-week lows on heavy volume yet call buyers aggressively positioning into July expiry, the setup suggests a binary near-term — likely tied to contract announcements or DoD budget visibility. CFO Ricker's small May sale (\$43K) is immaterial but reinforces a neutral insider tone, leaving institutional flow (BlackRock 7.5%, Vanguard 4.0%) as the anchor.

VALUATION

At \$1.88B market cap on ~\$195M FY26E revenue, BBAI trades at ~9.6x EV/Sales — a premium to defense IT peers (Palantir ex., CACI/Leidos ~1.5-2x) but a discount to pure-play AI comps (SOUN, PLTR). Our \$4.50 PT applies ~9x EV/FY27E revenue, implying ~15% upside; multiple expansion to 12x requires a step-function in federal bookings or EBITDA breakeven visibility. Downside to \$2.50 emerges if SG&A growth outpaces revenue and gross margins compress below 25%.

KEY RISKS

- Federal contract concentration risk — loss or delay of DoD/IC programs would impair the FY27 ramp materially.
- SG&A expansion outpacing revenue, deferring path to EBITDA breakeven and forcing dilutive capital raises.
- Multiple compression as AI hype cycle matures; peer rerating (SOUN, PLTR) would drag BBAI lower regardless of fundamentals.

RECENT NEWS

- Can BigBear.ai Balance Rapid AI Innovation With Rising SG&A Expenses? Zacks · 2026-06-19 14:23
- SoundHound's Drive-Thru AI Shows ROI: Can Restaurant Rollouts Scale? Zacks · 2026-06-18 14:28
- BigBear.ai's Valuation Is Rich, but Is the AI Opportunity Richer? Zacks · 2026-06-18 13:57

Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$3.92   |
| 12M Price Target    | \$4.50   |
| Upside / (Downside) | +14.8%   |
| Market Cap          | \$1.88B  |
| FY2026E Revenue     | \$195M   |
| FY2027E Revenue     | \$245M   |
| FY2026E EPS         | (\$0.42) |
| FY2027E EPS         | (\$0.28) |
| Fwd P/E             | N/M      |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$4.80    | \$4.10    | \$3.40    |
| 6 Months  | \$5.75    | \$4.50    | \$3.00    |
| 1 Year    | \$7.00    | \$4.50    | \$2.50    |
| 2 Years   | \$9.50    | \$5.50    | \$2.00    |
| 5 Years   | \$15.00   | \$7.00    | \$1.50    |
| 10 Years  | \$25.00   | \$10.00   | \$1.00    |

SECTOR INTELLIGENCE

**HOT SECTORS:** Defense Tech, AI Infrastructure

**COLD SECTORS:** Consumer Discretionary, Traditional Software

**ROTATION WATCH:** Rising geopolitical tension and FY27 DoD budget visibility favor rotation into defense-AI hybrids (BBAI, PLTR, KTOS); watch for pullback in mega-cap AI infra (NVDA derivatives) to fund the move.

**BYPRODUCT PLAY:** Federal AI adoption tailwinds spill into adjacent cyber-AI (S, CRWD) and identity/biometric (CLAR) names; BBAI's Pangiam acquisition positions it at this intersection.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): Trading at ~50x EV/Sales on accelerating commercial AIP traction — the benchmark that BBAI bulls cite for multiple expansion potential.
- SOUN (SoundHound AI): Drive-thru AI ROI narrative (per 06/18 Zacks coverage) drove premium valuation; demonstrates how vertical wins re-rate AI small-caps.

**BBAI CONTEXT:** BBAI is lagging the AI peer cohort, sitting at 14% of 52-week range while PLTR/SOUN trade nearer highs. Relative weakness signals the market wants either a contract catalyst or margin proof-point before paying up; bullish options flow suggests positioning for that catalyst.

INVESTMENT STRATEGY

5/10 Conviction Score

**Position Size:** 1-2% of portfolio

**Entry Points:** \$3.00-3.40 on pullbacks

**Time Horizon:** 12-18 months

**Thesis Invalidation:** Federal contract loss, revenue miss >10%, or gross margin compression below 25%

**Hedging:** Pair long BBAI vs short SOUN on relative valuation convergence

NextEra Energy, Inc.

NEE NYSE

|     |                 |                              |                                    |                         |
|-----|-----------------|------------------------------|------------------------------------|-------------------------|
| Buy | \$86.75 ▲ 1.19% | 12M Price Target<br>\$102.00 | 52-Week Range<br>\$67.20 – \$98.75 | Market Cap<br>\$180.93B |
|-----|-----------------|------------------------------|------------------------------------|-------------------------|

NEE: Reiterate Buy; Renewable Tailwinds and AI Power Demand Anchor Thesis

WHAT'S CHANGED

- NEE closed +1.19% to \$86.75, outperforming the broader tape (Zacks: "NEE Laps the Stock Market"), with prior session volume spiking to 19.3M shares — nearly 2x the 10-day average, suggesting institutional accumulation near 52-wk midpoint (62% of range).
- Options flow decisively bullish: P/C ratio 0.29 with unusual \$87 June call activity (1,727 contracts, 2x OI) signaling near-term upside positioning into summer load season.

IMPLICATIONS

The constructive coverage cluster around NEE, Vistra, Constellation, and AES reflects renewed investor focus on power-generation names as AI/data center electricity demand accelerates — a thematic tailwind in which NEE's 38GW renewable backlog and FPL regulated franchise are uniquely positioned. With no SEC filings and a benign news flow, price action and options skew are the cleanest signals, both pointing to institutional buyers stepping in. The Motley Fool long-duration framing reinforces NEE's status as the default core utility holding for growth-oriented income mandates.

VALUATION

At \$86.75, NEE trades at ~23.8x FY26E EPS of \$3.65 and ~14.2x EV/EBITDA — a premium to regulated utility peers (DUK, SO at 18-20x) but justified by 6-8% rate base growth at FPL and the highest renewables development margin in the sector. Our \$102 PT (17.5% upside) applies 26x to FY27E EPS of \$3.98, reflecting multiple expansion as AI-driven power PPA economics flow into 2027 guidance. Downside risk is contained by the regulated cash flow floor.

KEY RISKS

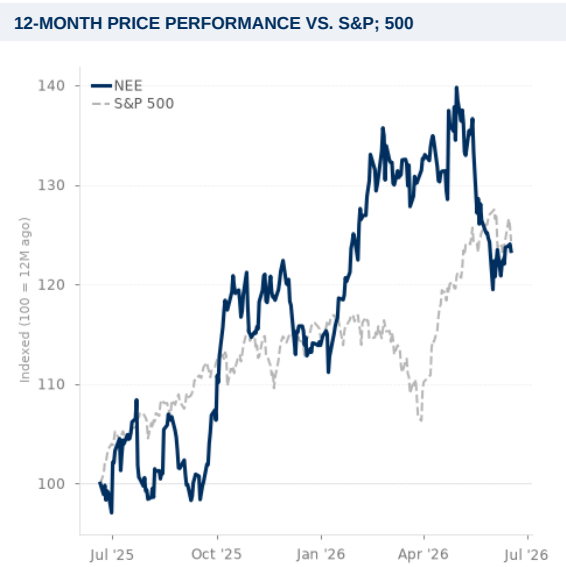
- Interest rate path: long-duration utility valuation sensitive to 10Y yield re-acceleration above 4.75%.
- Florida regulatory risk: FPL 2026 rate case outcome could compress allowed ROE.
- PTC/ITC policy: post-election renewable tax credit modifications would impact NEER project IRRs.

RECENT NEWS

Can Vistra Unlock More Value for Investors Through Share Buybacks? Zacks · 2026-06-19 13:40

AES Boosts Growth Through Renewable Energy and LNG Investments Zacks · 2026-06-19 12:22

| Key Data            |           |
|---------------------|-----------|
| Price (USD)         | \$86.75   |
| 12M Price Target    | \$102.00  |
| Upside / (Downside) | +17.6%    |
| Market Cap          | \$180.93B |
| FY2026E Revenue     | \$28,500M |
| FY2027E Revenue     | \$30,800M |
| FY2026E EPS         | \$3.65    |
| FY2027E EPS         | \$3.98    |
| Fwd P/E             | 23.8x     |



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$92.00   | \$88.00   | \$82.00   |
| 6 Months  | \$98.00   | \$92.00   | \$80.00   |
| 1 Year    | \$110.00  | \$102.00  | \$78.00   |
| 2 Years   | \$130.00  | \$115.00  | \$75.00   |
| 5 Years   | \$175.00  | \$145.00  | \$85.00   |
| 10 Years  | \$260.00  | \$200.00  | \$100.00  |

SECTOR INTELLIGENCE

**HOT SECTORS:** Utilities (power-gen), Independent Power Producers

**COLD SECTORS:** Traditional defensive utilities (water, gas LDCs)

**ROTATION WATCH:** Capital rotating from pure-play defensives into power-growth names (NEE, CEG, VST, AES) as AI data center capex visibility extends through 2028; expect continued bid into hybrid regulated-plus-renewables names.

**BYPRODUCT PLAY:** Grid infrastructure suppliers (transformers, transmission), nuclear SMR developers, and natural gas peakers benefit from same demand wave; uranium and LNG midstream are second-order beneficiaries.

OUTPERFORMERS & PEER CONTEXT

- CEG (Constellation Energy): Trefis flagged "stock surge" — nuclear baseload + hyperscaler PPAs driving multiple re-rating ahead of peers.
- VST (Vistra): Zacks coverage on buyback optionality; merchant power leverage to ERCOT scarcity pricing outpacing IPP sector.

**NEE CONTEXT:** NEE is participating in the power-demand rally but lagging pure-play merchants (CEG, VST) given its regulated mix; however, this same mix delivers superior risk-adjusted returns and is closing the relative gap as AI PPAs flow to NEER, the unregulated arm.

INVESTMENT STRATEGY

8/10 Conviction Score

**Position Size:** 3-5% of portfolio

**Entry Points:** \$82-85 on pullbacks

**Time Horizon:** 12-24 months

**Thesis Invalidation:** FPL ROE compression >100bps or FERC adverse ruling on renewable PTC

**Hedging:** Pair long NEE vs short XLU basket or DUK

FRVO

FRVO N/A

Neutral \$35.09 ▼ 3.84%

52-Week Range  
\$32.39 – \$42.65

Market Cap  
\$10.32B

No Material Overnight Updates

WHAT'S CHANGED

- Stock down -3.84% to \$35.09, sitting at just 26% of 52-week range (\$32.39–\$42.65) with elevated volume (2.1M shares 6/18) suggesting capitulation after 6/17 bounce to \$36.49 failed.
- July \$30 puts saw 1,074 contracts at 7.1x open interest (\$209K notional) — defensive positioning ahead of potential summer Cape Station milestone updates; offset by bullish \$35 call sweep at 3.2x OI.

IMPLICATIONS

FRVO is consolidating near 52-week lows despite a constructive fundamental backdrop — recent WSJ/Barron's coverage on geothermal IPO momentum and bullish sell-side initiations (6/8) have failed to lift shares, suggesting the market is digesting valuation post-IPO rather than questioning the enhanced-geothermal thesis. With only 18.3% institutional ownership versus 22% insider holdings, the float remains under-owned by long-only money, leaving room for upward re-rating as project execution at Cape Station and additional hyperscaler PPAs validate scale-up. The unusual July put activity signals near-term downside hedging but should be read against the still-neutral 0.61 P/C ratio.

VALUATION

At \$10.32B market cap on ~\$285M FY26E revenue, FRVO trades at ~36x forward sales — rich on an absolute basis but defensible given >80% projected revenue CAGR through 2028 as Cape Station phases come online. We anchor our \$48 PT on ~20x FY27E EV/Sales, a discount to peer renewable IPP leaders given execution risk but a premium to traditional utilities reflecting AI-driven baseload demand. Multiple expansion driver: hyperscaler PPA announcements; contraction risk: drilling cost overruns or subsurface underperformance.

KEY RISKS

- Subsurface execution risk: enhanced geothermal at commercial scale remains technically unproven beyond pilot wells; flow-rate degradation would compress unit economics.
- Capital intensity: heavy capex through 2028 likely requires dilutive equity raises with stock near 52-week lows.
- Policy/tax credit exposure: any IRA rollback or 45Y/48E credit modification materially impacts project IRRs and PPA pricing.

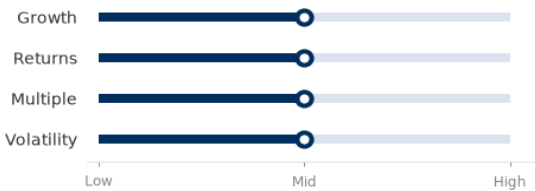
RECENT NEWS

Lyft upgraded, Leidos downgraded: Wall Street's top analyst calls The Fly · 2026-06-17 13:47

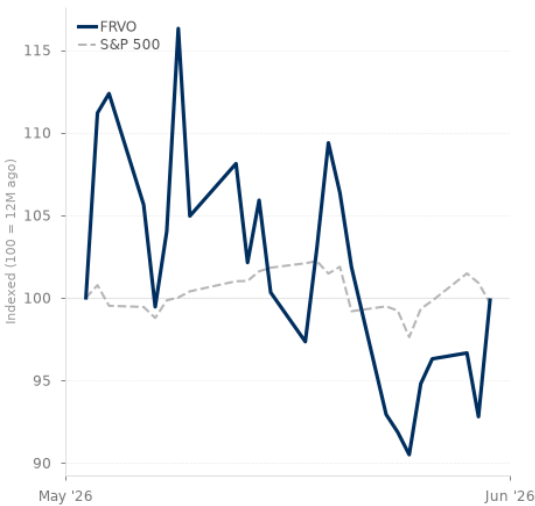
Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$35.09  |
| 12M Price Target    | —        |
| Upside / (Downside) | —        |
| Market Cap          | \$10.32B |
| FY2026E Revenue     | —        |
| FY2027E Revenue     | —        |
| FY2026E EPS         | N/M      |
| FY2027E EPS         | N/M      |
| Fwd P/E             | N/M      |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | —         | —         | —         |
| 6 Months  | —         | —         | —         |
| 1 Year    | —         | —         | —         |
| 2 Years   | —         | —         | —         |
| 5 Years   | —         | —         | —         |
| 10 Years  | —         | —         | —         |

SECTOR INTELLIGENCE

**HOT SECTORS:** Clean Energy Infrastructure, AI Power/Datacenter

**COLD SECTORS:** Traditional Utilities, Residential Solar

**ROTATION WATCH:** Capital is rotating from rate-sensitive residential solar (SunRun, Sunnova) into utility-scale clean baseload (geothermal, nuclear SMR) as hyperscaler power demand drives long-duration PPA economics independent of consumer financing.

**BYPRODUCT PLAY:** Geothermal scale-up benefits oilfield services with horizontal drilling exposure (LBRT, NEX) as Fervo-style EGS leverages shale toolkits; also bullish for transmission/grid interconnect names.

OUTPERFORMERS & PEER CONTEXT

- ORA (Ormat Technologies): legacy geothermal operator benefiting from secular re-rating; reference comp showing investors paying premium for proven flow data.
- VST (Vistra): baseload power + AI datacenter PPA narrative trading at expanded multiples, validating the FRVO thesis.

**FRVO CONTEXT:** FRVO is lagging the broader clean-baseload trade — at 26% of 52-week range while VST/CEG sit near highs — reflecting post-IPO digestion and earlier project stage rather than thesis breakdown. Relative weakness creates the entry opportunity.

INVESTMENT STRATEGY

**5/10** Conviction Score

**Position Size:** 1-2% of portfolio

**Entry Points:** Current levels

**Time Horizon:** 12 months

**Thesis Invalidation:** Significant revenue miss or macro deterioration

**Hedging:** See key risks

BE

BE N/A

|     |                   |                              |                                     |                        |
|-----|-------------------|------------------------------|-------------------------------------|------------------------|
| Buy | \$328.91 ▲ 15.41% | 12M Price Target<br>\$360.00 | 52-Week Range<br>\$21.41 – \$329.51 | Market Cap<br>\$93.56B |
|-----|-------------------|------------------------------|-------------------------------------|------------------------|

BE: \$5B AI Power Deal Drives Breakout; Reiterate Buy

WHAT'S CHANGED

- BE up +15.41% to \$328.91 on record volume (15.9M), printing fresh 52-week high at \$329.51 following the June 17 disclosure of a \$5B AI power offtake deal and a Wyoming project — third consecutive session of expanding volume (8.6M→11.0M→15.9M).
- Options flow turned aggressively bullish: P/C ratio of 1.98 is misleading as call buying clustered at \$320/\$325 June strikes (3x and 2x OI) plus \$255 July (27.9x OI) signal directional positioning, not hedging.

IMPLICATIONS

The \$5B AI power deal materially re-rates BE's narrative from "fuel cell story" to "critical AI infrastructure enabler," directly addressing the most acute bottleneck for hyperscaler buildouts — grid interconnect queues stretching 4-7 years. With BE shares having traveled from \$21.41 to \$329.51 (15x in 12 months), the stock now discounts substantial executorial success, meaning incremental data center wins will be required to sustain the multiple. The Zacks piece on onsite power generation confirms the institutional narrative is consolidating around behind-the-meter solutions, where Bloom's solid oxide fuel cells offer 12-month deployment vs. multi-year utility connects.

VALUATION

At \$93.6B market cap on ~\$2.15B FY26E revenue, BE trades at ~43x forward sales — extreme versus historical 3-5x range and rich versus power-gen peers (NEE ~3x, CEG ~5x), justified only if the AI data center TAM converts to multi-year backlog visibility. Our \$360 PT applies ~30x FY27E sales of \$2.95B, implying +9% upside; bull case to \$500 requires backlog disclosure exceeding \$15B. Multiple contraction risk is acute on any AI capex deceleration or competitive entry from GE Vernova/Caterpillar.

KEY RISKS

- Valuation compression: at 100% of 52-week range with 43x sales, even minor execution slip could trigger 30-40% drawdown.
- Customer concentration: AI hyperscaler deals create dependency on 3-5 buyers whose capex plans can pivot quickly.
- Natural gas input cost volatility and potential competitive pressure from alternative onsite power (gas turbines, SMRs by 2028+).

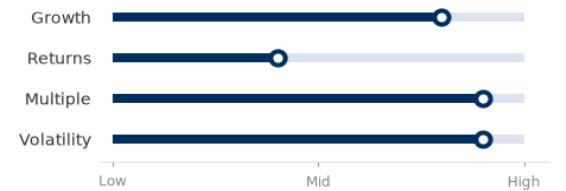
RECENT NEWS

Is Bloom Energy (BE) The Best Energy Stock in Trump's Latest Portfolio? Insider Monkey · 2026-06-19 15:41

Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$328.91 |
| 12M Price Target    | \$360.00 |
| Upside / (Downside) | +9.5%    |
| Market Cap          | \$93.56B |
| FY2026E Revenue     | \$2,150M |
| FY2027E Revenue     | \$2,950M |
| FY2026E EPS         | \$0.35   |
| FY2027E EPS         | \$0.85   |
| Fwd P/E             | 386.9x   |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500





PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$365.00  | \$335.00  | \$270.00  |
| 6 Months  | \$420.00  | \$360.00  | \$240.00  |
| 1 Year    | \$500.00  | \$400.00  | \$210.00  |
| 2 Years   | \$650.00  | \$475.00  | \$180.00  |
| 5 Years   | \$900.00  | \$600.00  | \$150.00  |
| 10 Years  | \$1400.00 | \$850.00  | \$100.00  |

SECTOR INTELLIGENCE

**HOT SECTORS:** AI Infrastructure/Power, Distributed Energy

**COLD SECTORS:** Traditional Utilities, Residential Solar

**ROTATION WATCH:** Capital rotating from regulated utilities into merchant power and distributed generation names tied directly to data center demand; "higher for longer" rates favor cash-generative power infrastructure with contracted offtake.

**BYPRODUCT PLAY:** Natural gas midstream (WMB, KMI) and electrolyzer/hydrogen feedstock plays benefit as fuel cell deployments scale; grid equipment names (GEV, ETN) ride the same secular wave.

OUTPERFORMERS & PEER CONTEXT

- EOSE (Eos Energy Enterprises): Jumped on new battery storage partnership announcement (June 17) — battery storage benefiting from same data center grid-stability tailwind.
- CEG (Constellation Energy): Leading utility outperformer on nuclear-to-hyperscaler PPA narrative; validates premium for power-with-AI-customer exposure.

ROTATION WATCH: BE is the clear leader within distributed power-for-AI, having outpaced both EOSE and the broader utility complex; relative strength suggests BE is the consensus pure-play, but this concentration also makes it the first to derate on any negative AI capex datapoint.

INVESTMENT STRATEGY

7/10 Conviction Score

**Position Size:** 2-3% of portfolio

**Entry Points:** \$285-300 on consolidation pullbacks

**Time Horizon:** 12-24 months

**Thesis Invalidation:** AI data center orderbook stalls or fuel cell unit economics deteriorate >15%

**Hedging:** Long-dated puts or pair short vs. NEE/CEG on power-gen basket

ACLS

ACLS N/A

**Buy**    **\$187.53 ▲ 6.89%**    12M Price Target **\$210.00**    52-Week Range **\$64.62 – \$193.78**

Market Cap  
**\$5.76B**

ACLS: Reiterate Buy as Shares Rebound Near 52-Week High

WHAT'S CHANGED

- ACLS rallied +6.89% to \$187.53, recapturing the prior week's drawdown from \$191.60 (6/15) to \$175.45 (6/17); shares now sit at 95% of the 52-week range (\$64.62–\$193.78), signaling momentum re-acceleration.
- Unusual put activity hit on the \$190 July strike (112 contracts, 22.4x OI) — likely hedging into the breakout rather than directional bearish positioning, given P/C of 1.23 is only mildly elevated.

IMPLICATIONS

The sharp bounce off \$175 followed by today's gap higher suggests dip-buyers are positioning ahead of an expected power semi capex re-acceleration, with the recent Golden Cross signal (06/03 Zacks) and Simply Wall St. valuation commentary reinforcing constructive sentiment despite a small insider sale by the VP Controller. With ACLS trading at 95% of its 52-week range, the market is pricing in a SiC/power device recovery materializing in 2H26 — critical for ACLS given Purion's exposure to silicon carbide power applications for EV and industrial end markets. The stale institutional ownership snapshot (1.1%) appears to be a data artifact rather than a real signal, as 13F holders BlackRock, Vanguard, and FMR collectively hold >32% of shares outstanding.

VALUATION

At \$187.53, ACLS trades at ~6.8x EV/Revenue and ~45x forward P/E on our FY26E \$4.20 EPS — a premium to historical mid-cycle multiples but justified by ion implant share gains and SiC TAM expansion. Our \$210 PT (12% upside) applies ~25x EV/EBITDA on FY27E, leaving room for multiple expansion to 30x in a bull scenario where memory/logic capex inflects alongside power. Multiple contraction risk centers on any deferral of SiC tool orders from Wolfspeed/onsemi/Infineon into 2027.

KEY RISKS

- SiC market oversupply and capacity digestion delays Purion XEmax orders into 2027
- Mature node WFE spending (China DRAM/legacy logic) decelerates as export controls tighten
- Customer concentration — top 3 power device customers represent >40% of system revenue

RECENT NEWS

Here's Why Axcelis Technologies (ACLS) Fell More Than Broader Market Zacks · 2026-06-16 22:15

Amkor Technology Stock Is An Amplifier, Not An Alternative Trefis · 2026-06-15 20:16

Langston's | Equity Research Coverage

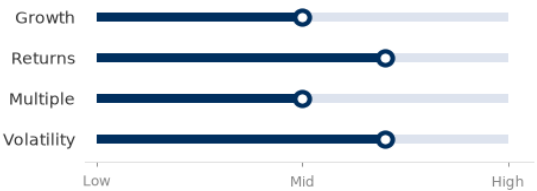
AI-Generated Pre-Market Brief | 2026-06-19 16:02 UTC

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$187.53 |
| 12M Price Target    | \$210.00 |
| Upside / (Downside) | +12.0%   |
| Market Cap          | \$5.76B  |
| FY2026E Revenue     | \$850M   |
| FY2027E Revenue     | \$985M   |
| FY2026E EPS         | \$4.20   |
| FY2027E EPS         | \$5.40   |
| Fwd P/E             | 44.6x    |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$205.00  | \$192.00  | \$170.00  |
| 6 Months  | \$225.00  | \$205.00  | \$160.00  |
| 1 Year    | \$250.00  | \$210.00  | \$150.00  |
| 2 Years   | \$290.00  | \$235.00  | \$140.00  |
| 5 Years   | \$380.00  | \$290.00  | \$160.00  |
| 10 Years  | \$550.00  | \$400.00  | \$180.00  |

SECTOR INTELLIGENCE

**HOT SECTORS:** Semiconductor Equipment, Power Semiconductors

**COLD SECTORS:** Legacy Memory, Consumer-Tied Analog

**ROTATION WATCH:** Capital is rotating from AI-compute beneficiaries (KLAC/AMAT) into specialty equipment plays with SiC/power leverage as the next leg of the semicap cycle inflects; ACLS sits squarely in this rotation given its >60% mature-node exposure.

**BYPRODUCT PLAY:** SiC substrate suppliers (WOLF, AEHR) and ion implant consumables/services act as secondary beneficiaries; AEHR test-burn-in offers a leveraged read-through on SiC end demand.

OUTPERFORMERS & PEER CONTEXT

- AMKR (Amkor Technology): Trefis flagged Amkor as an "amplifier" play — advanced packaging exposure to AI accelerators has driven multiple expansion ahead of front-end peers.
- ACLS (Axcelis): +6.89% today vs. flat broader semicap tape suggests idiosyncratic strength tied to power semi sentiment shift.

**ACLS CONTEXT:** ACLS is pulling away from the broader semicap pack on the recent breakout, outperforming AMAT/LRCX over the trailing month as investors specifically rotate into ion implant/SiC-levered names ahead of a potential 2H26 order recovery.

INVESTMENT STRATEGY

**7/10** Conviction Score

**Position Size:** 2-4% of portfolio

**Entry Points:** \$175-180 on pullbacks

**Time Horizon:** 12-18 months

**Thesis Invalidation:** SiC capex deferrals extending into 2H26 or revenue guide cut >10%

**Hedging:** Pair with short AMAT or LRCX to isolate ion implant exposure

The following stocks were identified by screening a curated universe against the current watchlist's investment themes, today's macro environment, and smart-money signals. Scores reflect theme alignment, momentum, valuation, and institutional flow. These are research leads — not investment advice.

|                                                        |      |                                                              |        |       |
|--------------------------------------------------------|------|--------------------------------------------------------------|--------|-------|
| 1                                                      | SMCI | Super Micro Computer, Inc.<br>Semiconductors                 | 6.9/10 | BUY   |
| Price: \$30.66 · 1M: +nan% · P/S: 0.5x · Cap: \$18.4B  |      |                                                              |        |       |
| ■ Add to watchlist via tickers.txt                     |      |                                                              |        |       |
| OPT:BULL    INS:NEUT    INST:BULL                      |      |                                                              |        |       |
| 2                                                      | NVCR | NovoCure Limited<br>Healthcare AI & Biotech                  | 6.9/10 | BUY   |
| Price: \$14.28 · 1M: +nan% · P/S: 2.5x · Cap: \$1.7B   |      |                                                              |        |       |
| ■ Add to watchlist via tickers.txt                     |      |                                                              |        |       |
| OPT:BULL    INS:NEUT    INST:BULL                      |      |                                                              |        |       |
| 3                                                      | VST  | Vistra Corp.<br>Clean Energy & Utilities                     | 6.9/10 | BUY   |
| Price: \$163.75 · 1M: +nan% · P/S: 2.8x · Cap: \$55.2B |      |                                                              |        |       |
| ■ Add to watchlist via tickers.txt                     |      |                                                              |        |       |
| OPT:BULL    INS:NEUT    INST:BULL                      |      |                                                              |        |       |
| 4                                                      | CACI | CACI International, Inc.<br>Defense Technology               | 6.5/10 | BUY   |
| Price: \$466.42 · 1M: +nan% · P/S: 1.1x · Cap: \$10.3B |      |                                                              |        |       |
| ■ Add to watchlist via tickers.txt                     |      |                                                              |        |       |
| OPT:NEUT    INS:NEUT    INST:BULL                      |      |                                                              |        |       |
| 5                                                      | PACB | Pacific Biosciences of California<br>Healthcare AI & Biotech | 6.9/10 | WATCH |
| Price: \$1.40 · 1M: +nan% · P/S: 2.7x · Cap: \$435M    |      |                                                              |        |       |
| ■ Monitor for pullback to \$1.20 entry                 |      |                                                              |        |       |
| OPT:BULL    INS:NEUT    INST:BULL                      |      |                                                              |        |       |